As an individual investor, when you have a losing year, you only get to carry forward a grand total of $3,000 a year in losses to offset against ordinary income. Sizable portfolios in the 2008–2009 crash lost millions of dollars. Folks who sold at the bottom in 2009 lost anywhere from 40 to 60%. Even if they watch their blood pressure and cholesterol, they may not live long enough to write off those losses at $3,000 per year for the next century.

Long-term investors who use an asset-allocation model have another advantage over active traders: Tax-loss harvesting. It's even more productive today via the latest software innovations.

Tax-loss harvesting used to be an inefficient act of guesswork, as well as a commission-generating sales tool. Today, it's a precise process to efficiently capture tax losses at the touch of a button.

How it works: Any asset-allocation portfolio will see various asset classes gain and lose relative to their model weighting (e.g., 60/40 stocks and bonds). It's a good idea to rebalance regularly. Rebalancing back to your original weightings has been shown to add 75 to 150 basis points of additional returns over the long term, at no additional cost or risk. It is the closest thing to a free lunch that Wall Street has to offer.

Thanks to new software, investors can harvest some of their paper losses to offset capital gains tax during the rebalancing process. My firm uses Canvas, created by Patrick and Jim O'Shaughnessy (OSAM) and now owned by Franklin Templeton. RWM was the first shop to experiment with Canvas after we introduced the product at our annual conference in 2019, and we now have over $1.5 billion (out of $5 billion in client assets) on the Canvas platform. I find it to be both powerful and flexible. There are lots of other tools on the market, and if you use an online broker, you probably have access to one for little or no cost.

What about the World's Greatest Trader®? Two choices: Quit the day job to